fund to be registered in 1993. The number of mutual funds registered with SEBI kept increasing through the 1990s with many foreign mutual funds setting up shop in India. By the end of 2003, there were more than thirty mutual fund houses with more than Rs 1 lakh crore worth of assets under management.

The Indian mutual fund industry now has more than forty fund houses offering approximately 2500 schemes across various asset classes like equity, debt, hybrid and commodities (gold). The industry now manages more than Rs 20 lakh crore (i.e. Rs 20 trillion or approximately US$ 315 billion) in AUM, of which about Rs 6 lakh crore is in equity. Over the past eighteen years, the industry's total assets under management have grown at 19.4 per cent per annum whereas total equity assets under management have grown at 17.7 per cent per annum.[6] The tax efficiency of the product (mutual fund investments enjoy tax benefits as they are eligible for taxation at concessional rates), the growth of the distribution industry (wherein third parties like banks, brokerages and financial advisers can sell mutual funds) and the continual rise in India's national income have been the key drivers of this stellar growth.